

R-01 — Walkthrough

Airline Group Ltd · FY 2025-26 (1 April 2025 – 31 March 2026) · Record to Report · Balance-sheet reconciliations reviewed monthly

Control	Balance-sheet reconciliations reviewed monthly (R-01)
Sub-process	Journals
Nature / frequency	Manual · Monthly
Risk addressed	Account balances unreconciled or parked in suspense unexplained.
Walked on	2026-03-11
Performed by	A. Jain, Audit Senior
Attended by	Journals lead, Financial Controller
Transaction walked	Reconciliation REC-26-0117 · Accrued expenses — 2140100 · February 2026

What we did

We selected one account reconciliation from the period and followed it from the preparer pulling the ledger balance through to the reviewer signing it off, observing the control operate and inspecting the evidence it leaves at each point. The reconciliation walked was REC-26-0117 over accrued expenses (GL 2140100) for February 2026, carrying a ledger balance of INR 412.6 lakh against supporting schedules of INR 409.8 lakh.

What we observed, against each design check

1. Control addresses the stated risk and assertion.

The reconciliation is the control the risk register names against R-51 — balances left unreconciled or parked in suspense without explanation. We traced it to that risk and to the completeness and valuation assertions over accrued expenses. The reconciliation template requires every difference between the ledger and the supporting schedule to be itemised, aged and owned, so the control does address the risk it is recorded against rather than merely re-presenting the balance.

Conclusion: operating as designed

2. Control operates at sufficient precision.

The reconciliation is performed to a stated threshold: any unexplained difference above INR 2.0 lakh must be itemised, and the account cannot be signed off while one remains open. That tolerance sits below the performance materiality set for this engagement, so a difference large enough to matter to the financial statements cannot pass through unexamined. The February reconciliation carried a residual difference of INR 2.8 lakh, which was itemised as a timing difference on two utility accruals and cleared in March.

Conclusion: operating as designed

3. Performed as described for each sampled item — designed to happen, at per item.

The reviewer is independent of the preparer. The reconciliation was prepared by the general ledger accountant and reviewed by the Financial Controller — someone other than the person who posted the underlying entries — and the system enforces this: the review step is locked to a role the preparer does not hold, so the sign-off cannot be bypassed by the person who prepared the reconciliation.

Conclusion: operating as designed

4. Exceptions handled per policy — designed to happen, at per exception.

The operation of the control is evidenced and retained. Each reconciliation is stored in Blackline with the preparer and reviewer stamps, the supporting schedules attached, and a full audit trail of every edit made after submission. We inspected the log for REC-26-0117 and it showed the preparer submission on 4 March and the reviewer sign-off on 6 March, with no amendment after approval. Records are retained for the full period and beyond.

Conclusion: operating as designed

Items inspected

Reconciliation	GL account	Month	Ledger (INR lakh)	Support (INR lakh)	Difference	Reviewed by	Signed
REC-26-0117	2140100	Feb 2026	412.6	409.8	2.8	Financial Controller	6 Mar
REC-26-0104	1210300	Feb 2026	1,884.2	1,884.2	—	Financial Controller	5 Mar
REC-26-0098	2310200	Jan 2026	766.4	765.1	1.3	Financial Controller	7 Feb

REC-26-0081	1140500	Jan 2026	298.0	298.0	—	Financial Controller	6 Feb
REC-26-0072	2140100	Dec 2025	390.5	388.9	1.6	Financial Controller	8 Jan

**Conclu
sion**

The control is designed effectively to address the risk recorded against it. The walkthrough confirmed that each design check operates as described, that the control runs at a precision capable of catching a material error, that it is performed independently of the activity it controls, and that it leaves an audit trail sufficient for a reviewer to establish that it ran.

Prepared by: A. Jain (Audit Senior), 11 March 2026

